

operational resilience are key drivers for our risk-calibrated profitable growth,” said Bakhshi in a recent investor call.

THE STAR PERFORMER

Under Bakhshi, the bank has been focusing on growing its loan portfolio in a granular manner with no specific targets for loan-mix or segment-wise loan growth. But certain segments have come up in the ladder.

Executive Director, ICICI Bank.

For ICICI Bank, this has been a story of the last decade—strong credit underwriting models tailored to the segment, enabling the entire branch network to serve business banking clients, and digital platforms driving deeper engagement.

In highly competitive business banking, the strategy is the same as in retail and corporate segments—a 360-degree customer

Research Analyst, Asit C Mehta Investment Intermediates.

Business banking is also reflecting broader changes in the ecosystem. With demonetisation, digitisation, and goods and services tax, there has been increased formalisation of small and mid-sized businesses. The presence of credit bureaus has also helped. The portfolio is well secured with collateral and is highly diversified—by geography and industry—reducing concentration risk and making it behave more like a retail book than a corporate one, where a single default can have an outsized impact.

The market has huge potential. For instance, in FY24, MSMEs contributed about 30% to India's GDP. The category also accounted for 45% of the country's exports and is the largest employer with 241 million employees; 19% of s are owned by women.

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However, there are asset quality challenges in stressful situations

Gurvinder Juneja, Partner at Fortuna Asset Managers, says the only big challenge facing business banking in terms of risk in 2026 will be opex efficiency. “Compared to wholesale corporate lending, business banking relies heavily on human capital, so the bank will need to demonstrate that its digital stack will keep the cost-to-income ratio relatively constant as the loan mix moves towards business banking with fewer loans,” says Juneja.

FIVE IN A ROW

- Best CASA growth in a competitive market
- Highest RoE, which matters for shareholders

RANK	BANKS	TOTAL ASSETS (₹CR)	GROWTH IN CASA	NET NPAs	SECURED ASSETS	ROA
1	ICICI Bank	21.18	13.07%	0.42%	72.61%	2.37%
2	Kotak Bank	6.93	4.95%	0.31%	79.14%	2.54%
3	SBI	66.76	6.24%	0.47%	71.03%	1.10%
4	BOB	17.81	8.22%	0.58%	75.72%	1.16%
5	Canara Bank	16.82	5.77%	0.70%	78.46%	1.07%

NOTE ROA IS RETURN ON ASSETS; NPA IS NON-PERFORMING ASSET;
SOURCE BT-KPMG

For instance, in the last five years, the bank has grown its business banking segment—business and self-employed customers with turnover up to ₹750 crore—from a 12.3% share in the loan mix in March 2021 to 19.2% in FY25. “Business banking could be much larger than corporate banking over the next few years. This is true for us and for the industry as a whole. Historically, the business banking segment accounted for just 11–12% of the total credit in the banking industry,” says Sandeep Batra,

approach—aiming to capture wallet share across credit, transaction banking, deposits, forex, and more. This drives profitability, as it is not a high-yield business based purely on lending. It supports growth not only in lending but also in fee income and current account balances.

“The growth in the business banking (SME finance) is seen at a macro level, where major banks reported strong growth in the SME segment as corporate credit reported single-digit growth,” says Akshay Tiwari, AVP – Equity